

TOP SECRET**CONTROLLED DISSEMINATION****DG ONLY****WARNING NOTICE****SENSITIVE SOURCES AND METHODS INVOLVED****"ALONSO"****FIELD SUMMARY**

DATE:	16 JUNE 1968
LOCATION:	SAIGON, REPUBLIC OF VIETNAM
SUBJECT:	OPERATIONAL SUMMARY - OPERATION ROUNDUP, BINH XUYEN, POSSIBLE SURVIVING KUEN YUIN ELEMENTS
PREPARED FOR:	TASK FORCE MARTEL FIELD ELEMENT EXECUTIVE COMMAND
CONTROL OFFICER:	C-65 CARSTAIRS
COPY NO.:	<u>2</u> OF <u>6</u>

PURPOSE

This summary is provided to designated personnel for operational orientation prior to activity in Saigon and surrounding areas. It concerns prior DELTA GREEN (DG) action conducted in 1955 under the designation "ROUNDUP", the relationship between local narcotics infrastructure and hostile nonconventional activity, and current indicators suggesting the possible survival or reconstitution of Kuen-Yuin elements in the Saigon/Rung Sat Special Zone areas.

This document is not to be placed in Embassy files, BNDD files, MACV registry, CIA station files, or ordinary military intelligence channels.

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1. BACKGROUND

In May 1955, DG personnel initiated Operation ROUNDUP in Saigon under cover of Government of Vietnam military action against the Binh Xuyen criminal and paramilitary organization, following their attempted coup of Prime Minister Ngo Dinh Diem.

At the time, the Binh Xuyen controlled significant police, vice, gambling, and opium interests in and around Saigon, based in the Rung Sat Special Zone. Their position allowed them to move personnel, currency, narcotics, and protected cargo through channels not available to ordinary criminal actors.

The Binh Xuyen derived substantial revenue from the opium trade and maintained commercial and criminal relationships with Corsican narcotics interests. These relationships provided access to maritime handling, protected storage, and overseas distribution contacts. Acquired intelligence indicated use of these same channels by the Kuen Yuin chapter in Saigon through agents embedded within the organization.

DG interest in the Binh Xuyen was secondary, instead centered on the Kuen-Yuin chapter based in the Chinese district of Cholon and the Rung Sat Special Zone.

2. OPERATION ROUNDUP

ROUNDUP was conducted between May and September 1955.

The overt action consisted of South Vietnamese operations against Binh Xuyen forces and associated infrastructure. DG personnel were embedded with advance U.S. Mission elements operating in an advisory capacity.

While GVN forces and supporting personnel addressed Binh Xuyen paramilitary threat, DG personnel diverted attention and resources toward the identification and eradication of Kuen Yuin-associated individuals in Cholon and the eventual destruction of SITE AV-383 in the Rung Sat Special Zone.

Site AV-383 was assessed at the time to be a protected ritual and logistical center. In September 1955, AV-383 was destroyed via VNAF aerial support. Contemporary case officer assessment states that the local Kuen-Yuin chapter was rendered inactive.

This conclusion is no longer considered appropriate.

3. LIMITATIONS OF THE 1955 ASSESSMENT

The nature of the destruction of AV-383 and hasty conclusion of the operation did not produce remains, captured personnel, or complete records to certify termination of the organization.

Several factors limit confidence in the original assessment:

- a. The battlespace was politically and militarily unstable.
- b. Context indicates that Binh Xuyen, Corsican, criminal, political, and local security channels overlapped.
- c. DG personnel lacked adequate assets to thoroughly exploit findings before destruction, limited by local military capabilities.
- d. Unfamiliar terrain: waterways and mangrove/swamp environment allowed for uncontrolled movement before and after the operation.
- e. CONUS-based ROUNDUP records are limited and/or unreliable.

4. CURRENT INDICATORS

U.S. Mission (BNDD, CIA) intelligence reporting from Saigon indicates continued convergence between narcotics movement, Corsican commercial interests, and protected political channels.

The Binh Xuyen organization no longer exists. Its former functions and infrastructure, however, have not disappeared. Smuggling, narcotics handling, vice protection, law enforcement and military compromise, and riverine movement continue as per US Mission assessments.

Corsican narcotics interests remain present in Saigon. The degree of local political sponsorship is undetermined.

Recent traffic further indicates the anticipated arrival or participation of American organized-crime figures seeking access to Asian narcotics supply independent of established French-Corsican channels.

The increased activity may provide opportunities for infiltration and intelligence-gathering on contact points and financial channels useful to surviving Kuen-Yuin personnel.

5. KUEN-YUIN ASSESSMENT

The Kuen-Yuin should not be treated as a conventional religious sect, political cell, or criminal organization.

Previous DG contact indicates that Kuen-Yuin groups are capable of long-term concealment, disciplined succession, ritualized preservation of personnel and knowledge, and exploitation of ordinary human institutions for nonordinary ends.

Known or suspected practices include:

- a. Use of narcotics channels for revenue, transport, and controlled access to vulnerable persons.
- b. Use of criminal intermediaries to insulate senior personnel.
- c. Use of corpse material, preserved remains, or living captives in ritual procedure.
- d. Willingness to sacrifice subordinate members, fronts, and facilities to preserve continuity.

6. OPERATIONAL COVER

For the duration of ALONSO, designated personnel will operate under BNDD surveillance cover.

The overt purpose of the task force's presence in Saigon is that of narcotics intelligence collection in relation to anticipated criminal meeting activity at the Hotel Continental Palace.

BNDD channels are to be used for information consistent with the narcotics cover. BNDD has no independent enforcement jurisdiction in the Republic of Vietnam. This limitation restricts expectations and reduces the likelihood that law-enforcement action will be demanded of the task force.

The BNDD's situation as an expanding agency, having only been established in February 1968, facilitates the infiltration of DG personnel to positions of enforcement and influence. A substantial measure of success in the cover assignment will further ExComm interests in BNDD.

7. HOTEL CONTINENTAL MATTER

The anticipated narcotics meeting at the Hotel Continental is of DG interest for two reasons:

First, it may identify current narcotics routes, sponsors, and foreign intermediaries active in Saigon and wider Indochina.

Second, it may expose relationships between Corsican operators, compromised local channels, and remnants or successors of the ROUNDUP target.

American organized-crime interest, including persons associated with Santo Trafficante, Jr., may indicate an effort to establish or test an Asian supply channel independent of the established French-Corsican structure.

Personnel are expected to observe and identify persons and associations linked to Corsican and American mafia narcotics interests.

Infiltration of the meeting is desirable. For this purpose, additional civilian cover credentials will be issued to the Task Force upon briefing.

8. CONTACT AND REPORTING

Routine BNDD-cover matters will be handled through the Embassy point of contact identified in the provided BNDD memorandum.

Intelligence concerning ROUNDUP and ALONSO will be transmitted directly to the case officer through provided means.

9. PRELIMINARY GUIDELINES

Personnel will:

- a. Establish BNDD cover in Saigon.
- b. Investigate indicators of Kuen-Yuin continuity.
- c. Develop and exploit leads for the identification and eventual methodical elimination of surviving Kuen Yuin networks and personnel.
 - c.1 Seek case officer clearance prior to engaging in large-scale armed action unless delay would cause operational compromise, loss of target, or unacceptable civilian risk.
- d. Identify current narcotics intermediaries linked to Corsican or American organized-crime interests.
- e. Achieve covert infiltration of the Hotel Continental summit.

Personnel will not:

- a. Brief BNDD, Embassy, MACV, ARVN, RVNP, or Agency station personnel on DG ONLY matters.
- b. Initiate overseas law-enforcement action under BNDD cover.
- c. Start a narcotics transaction for profit or convenience.

10. CURRENT ASSESSMENT

It is likely that 1955's ROUNDUP only served to cripple, not conclusively destroy, the Kuen Yuin organization in Saigon.

Saigon remains suitable terrain for Kuen-Yuin survival. The city contains narcotics traffic, political protection, foreign presence, riverine movement, refugee populations, and a high tolerance for unexplained disappearance.

Current narcotics activity may be ordinary criminal enterprise. It may also be the unwitting host of a surviving parasitic structure. T.F.M. will determine which is the case.